Reimagining assurance - harnessing intelligence, resilience and integrity

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Opening remarks by Mr Adnan Zaylani Mohamad Zahid, Deputy Governor of the Central Bank of Malaysia (Bank Negara Malaysia), at the 11th ASEAN Central Bank Heads of Internal Audit Network Meeting "Reimagining assurance - harnessing intelligence, resilience and integrity", Kuala Lumpur, 8 October 2026.

A very warm welcome to Kuala Lumpur and to Bank Negara Malaysia. It is a pleasure to join you at the 11th ASEAN Central Bank Heads of Internal Audit Network Meeting. Your presence reflects our shared commitment to advancing the internal audit profession and strengthening the institutions we serve.

This year's gathering is special as, for the first time, we welcome representatives from Papua New Guinea. This reflects the growing spirit of regional cooperation among our audit communities. Over the years, our Network has evolved beyond a professional forum into a trusted platform for exchanging perspectives and learning from one another's experience.

Such collaboration is increasingly important. We operate in an environment transformed by technological advances, increasingly sophisticated cyber threats, geopolitical developments, economic uncertainty, and demanding stakeholder expectations. Risks are becoming more interconnected, and events in one institution, sector or jurisdiction can quickly have wider implications.

At their core, central banks are institutions of trust. Whether pursuing price stability, safeguarding financial stability, ensuring the smooth functioning of payment and settlement systems, managing reserves, or supporting economic resilience, our effectiveness depends on confidence in our institutions. Without that confidence, even well-designed policies and robust frameworks may not be effective. Preserving trust must therefore be one of our most important responsibilities.

Let me share five areas of risks that are top of mind when it comes to preserving trust and confidence, relevant for our discussions.

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Second, uncertainty is no longer episodic. It is more prevalent. Important decisions have to be made, more often, with incomplete information and in rapidly changing circumstances. Our challenge is therefore not to eliminate uncertainty, but to strengthen our capacity to navigate it responsibly and confidently.

Third, data increasingly underpins critical decisions across policymaking, supervision, financial market operations and organisational management. Confidence in those decisions depends on confidence in the underlying data, making sound data governance essential to institutional credibility.

Fourth, artificial intelligence presents both opportunity and responsibility. It can strengthen analysis, improve efficiency, enhance risk sensing, and augment human decision-making, but it also raises questions about accountability, transparency, data quality and ethical use. The question now is beyond whether to adopt these technologies, but how to use and govern them responsibly, with clear accountability, meaningful human oversight and explainable decisions consistent with our values.

And finally, resilience has become a strategic imperative. A central bank's capacity to fulfil its mandate must endure through cyber incidents, operational disruptions, and market stress. Resilience is demonstrated not by the absence of disruption, but by the ability to anticipate, withstand, recover from, and adapt to it while continuing to deliver critical functions and sustain public confidence.

Against this backdrop, the role of internal audit is evolving. Its traditional responsibility to provide independent assurance on controls, governance, and compliance remains fundamental. However, boards and senior management increasingly expect insights that help institutions prepare for future challenges, identify emerging vulnerabilities and assess readiness for what lies ahead. Internal audit is therefore operating more visibly at the intersection of governance, risk, technology, and strategy.

This evolution brings considerable expectations. When a risk materialises, one of the first questions often asked is, 'Where was internal audit?' The question reflects confidence in the function, but no assurance provider can anticipate every future event, examine every risk, or

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The true value of internal audit lies in improving the quality of institutional judgement. This requires clarity on the most significant risks, disciplined prioritisation, and open dialogue among internal audit, boards and management on the nature, scope, and limitations of assurance.

Looking ahead, the most effective internal audit functions will combine technological capability with sound professional judgement. They will be agile in responding to emerging risks, courageous in challenging established assumptions, and strategic in understanding the broader environment in which their institutions operate.

Most importantly, they will remain trusted by upholding qualities that cannot be automated: independence, impartiality, professional scepticism, and integrity. Technology can extend reach, sharpen analysis and improve timeliness, but it cannot replace the judgement, courage, and ethical grounding that give assurance its credibility.

This year's theme, 'Reimagining Assurance: Harnessing Intelligence, Resilience and Integrity', speaks directly to this evolution. It is about transforming data into insight and foresight, assessing whether institutions can operate effectively through disruption and change, and preserving the integrity essential to every central bank's credibility. Reimagining assurance therefore extends beyond new tools or methodologies. It requires the profession to remain relevant and responsive in an increasingly complex world.

These themes are reflected throughout the programme, including auditing artificial intelligence, emerging cyber threats and recovery, cybersecurity readiness, data management, and the Global Internal Audit Standards. Though diverse, these topics share a common objective: enabling internal audit to remain relevant, rigorous, and responsive to the changing needs of central banks.

I encourage everyone to engage openly, sharing your successes, and also lessons from challenges and setbacks. Throughout today’s discussions, let us draw on our respective experiences, challenge established thinking, and consider how assurance can continue to evolve in support of stronger and more resilient central banks.

I am confident that this meeting will generate meaningful insights, deepen regional collaboration, and further strengthen the ASEAN central banks' internal audit community

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